Recent developments: Economic conditions in Latin America and the Caribbean (LAC) this year have been shaped by the conflict in the Middle East and heightened global uncertainty. Higher and more volatile global energy prices have raised inflation in some cases, leading to tighter monetary policy. However, the conflict has had only a moderate impact through financial channels, as sovereign spreads and exchange rates across major LAC economies remain broadly stable. This is due in part to the net energy exporter status of several major LAC economies, which provides greater resilience to external shocks, as well as debt profiles composed of local-currency debt, reducing their vulnerability to exchange rate fluctuations.

Inflation continued to ease across much of the region in early 2026 prior to the escalation of the conflict, but progress with disinflation slowed in some cases and diverged further across countries thereafter, contributing to increasingly differentiated monetary policy paths. Disinflation has stalled amid renewed energy related pressures in Brazil and still elevated core inflation in Mexico. Meanwhile inflationary pressures had already been strengthening in Colombia prior to the conflict, prompting tighter policy. In contrast, core inflation has remained close to targets in Chile and Peru despite the energy shock, allowing easing to continue, and declined sharply in Argentina following earlier stabilization measures, although monetary conditions remain restrictive.

Growth has shown uneven momentum across the region. Growth firmed in early 2026 in several South American economies, partly reflecting positive carryover from late 2025, although it moderated in Argentina amid still tight monetary conditions. By contrast, economic activity in Mexico contracted amid weaker external demand and elevated trade policy uncertainty.

Export performance has remained resilient, particularly among commodity and energy exporters such as Brazil, Colombia, Ecuador, and Guyana, reflecting favorable oil price developments. Trade conditions have also provided some support: lower U.S. tariffs have modestly improved the near-term outlook for regional exports, while the entry into force of the trade agreement between the European Union and the Southern Common Market (MERCOSUR) has strengthened market access and reduced trade related uncertainty for exporters.

Outlook: Growth in LAC is projected to slow to 2.2 percent in 2026, reflecting still weak domestic demand as well as weaker global growth, before strengthening gradually over 2027–28 to an average of 2.5 percent, as monetary policy eases and global conditions improve. The projected slowdown in 2026 is associated with softer growth in private consumption and exports relative to 2025, owing to weaker global growth and stricter monetary conditions. Investment is expected to be an important driver of the medium-term recovery, accelerating over 2027–28 as monetary easing gains traction and trade policy uncertainty abates.

Among net energy exporters, higher energy prices will support export revenues and external balances. In Argentina, growth is projected to remain relatively strong and roughly steady, at 3.6 percent over 2026-28, supported by exports but constrained by tight monetary and fiscal policies domestically. In Brazil, growth is projected to slow to 1.9 percent in 2026 amid lower consumption growth, before strengthening to 2.1 percent on average in 2027-28, as continuing disinflation allows monetary policy easing. In Colombia, growth is forecast to slow to 2.3 percent in 2026, with higher oil prices supporting incomes but inflationary pressures delaying monetary easing.

Mexico's exposure to the energy price shock is limited, given its broadly balanced energy trade position and fiscal efforts to contain its impact. Its economic prospects are shaped mainly by domestic demand and external trade conditions, particularly with respect to the United States and the USMCA revision. Growth is projected to pick up to 1.3 percent in 2026 and strengthen further to an average of 1.8 percent in 2027–28, as investment recovers and external demand stabilizes.

For net energy importers, higher oil prices will raise import costs and inflationary pressures. However, some economies, such as Chile and Peru, will partially benefit from elevated metals prices, which are expected to support export earnings and fiscal revenues.

In Central America, where most economies are net energy importers, higher global oil prices are expected to weigh on activity through higher import costs, inflationary pressures, and weaker real incomes. These headwinds are partly mitigated by resilient remittance inflows and relatively stable domestic demand, but the subregion remains vulnerable to slower external demand and tighter external financing conditions following the conflict.

In the Caribbean, most economies are net energy importers and remain exposed to higher fuel costs, which are expected to add to price pressures and erode real incomes. Nevertheless, activity in the subregion is projected to strengthen, supported by a continued recovery in services, particularly tourism, as well as robust domestic demand. Growth is projected to reach 2.5 percent in 2026 and average about 3.9 percent in 2027–28. In Guyana, growth is expected to remain exceptionally strong as oil production continues to expand.

Despite broadly stable unemployment rates, labor market challenges persist across the region, reflecting weak formal job creation, high informality, and modest income growth, which continue to weigh on productivity, consumption, and poverty reduction. These constraints are compounded by tight fiscal positions in many economies. Elevated debt levels and high interest burdens limit the scope for countercyclical policies and targeted labor market support, making it more difficult to translate growth into better jobs and sustained income gains.

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Latin America and the Caribbean Economy Forecasts

(Annual percent change unless indicated otherwise)

	2023	2024	2025e	2026f	2027f	2028f
GDP at market prices (average 2010–19 US$)						
Argentina	-1.9	-1.3	4.4	3.6	3.7	3.5
Bahamas, The	3.0	3.4	2.8	2.2	1.9	1.8
Barbados	1.8	3.4	2.7	2.7	3.0	3.1
Belize	0.5	3.5	1.5	2.4	2.2	2.2
Bolivia	2.5	-1.1	-1.6	-3.2	4.0	3.2
Brazil	3.2	3.4	2.3	1.9	2.0	2.2
Chile	0.7	2.8	2.5	2.1	2.5	2.3
Colombia	0.8	1.5	2.6	2.3	2.4	2.7
Costa Rica	4.8	4.1	4.6	3.5	3.6	3.7
Dominica	3.7	2.1	3.1	2.8	2.9	2.8
Dominican Republic	2.2	5.0	2.1	3.6	4.4	4.5
Ecuador	2.0	-2.0	3.7	2.5	2.5	2.5
El Salvador	3.4	2.6	3.9	3.2	3.0	3.1
Grenada	4.5	3.3	4.5	3.1	3.0	2.9
Guatemala	3.5	3.7	4.2	3.7	3.8	3.8
Guyana	33.8	43.8	15.4	16.3	23.5	21.2
Haiti [a]	-1.9	-4.2	-2.7	0.6	1.9	2.2
Honduras	3.6	3.6	3.8	3.4	3.7	3.8
Jamaica	2.7	-0.5	-0.4	-1.0	3.2	1.6
Mexico	3.1	1.4	0.6	1.3	1.7	1.9
Nicaragua	4.4	3.6	4.9	3.4	3.4	3.3
Panama	7.4	2.9	4.4	3.9	4.1	4.1
Paraguay	5.3	4.7	6.6	4.4	4.2	4.0
Peru	-0.4	3.5	3.4	2.7	2.8	2.8
St. Lucia	3.3	4.7	1.3	1.9	1.8	1.7
St. Vincent and the Grenadines	5.3	4.1	3.6	3.0	3.1	2.9
Suriname	2.4	1.7	1.8	4.0	4.5	20.5
Trinidad and Tobago	1.5	2.5	0.8	0.7	3.2	3.5
Uruguay	0.8	3.3	1.8	1.6	1.9	2.1

Source: World Bank.

Note: e = estimate; f = forecast. World Bank forecasts are frequently updated based on new information and changing global circumstances. Consequently, projections presented here may differ from those in other World Bank documents, even if basic assessments of countries' prospects do not significantly differ at any given moment in time.

a. GDP is based on fiscal year, which runs from October to September of next year.